

AGRICULTURAL AND BUSINESS LOAN UNDERWRITING POLICY

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Purpose: Research Prototype Evaluation

IMPORTANT NOTICE:

This is synthetic demonstration content created exclusively for academic RAG evaluation. It is NOT an actual bank policy, regulatory guideline, or financial institution document.

1. Purpose

This demonstration policy provides example considerations for agricultural and business loan applications.

2. Agricultural Loan Assessment

Agricultural loan applications should consider:

- The stated agricultural purpose.
- Applicant income and repayment capacity.
- Existing loan commitments.
- Requested loan amount.
- Available collateral or guarantor support.
- Required documentation.

3. Business Loan Assessment

Business loan applications should consider the applicant's ability to support repayment.

Employment or business stability should be considered together with income and existing financial obligations.

4. Requested Loan Amount

Large requested amounts should receive additional assessment where the amount appears disproportionate to the applicant's demonstrated income or repayment capacity.

5. Existing Financial Commitments

Existing loan repayments should be considered when assessing the applicant's ability to undertake additional borrowing.

High existing repayment obligations may result in a recommendation for further review.

6. Collateral

Where collateral is required for an agricultural or business loan, the availability of appropriate security should be verified.

Absence of required collateral information may prevent policy compliance from being confirmed.

7. Guarantor

Where a guarantor is relevant to the loan arrangement, guarantor availability and supporting information should be verified.

8. Documentation

Complete documentation should be available for policy verification.

Applications with missing documents should be referred for manual review.

9. Model and Policy Integration

The statistical machine learning model provides an empirical prediction.

The prediction should not override applicable institutional policy requirements.

The recommended decision-support process is:

1. Generate the ML prediction.
2. Examine SHAP and LIME explanations.
3. Retrieve relevant agricultural or business policy evidence.
4. Compare model evidence with policy evidence.
5. Identify conflicts or missing information.
6. Provide an advisory recommendation for human review.

10. Human Decision Authority

The AI system does not have authority to approve or reject loans.

Final lending decisions remain with authorized human credit officers.